DADAIC INVESTMENT COMMITTEE EXECUTIVE MEMO

Target Asset: GOOG | Alphabet Inc. (Class C Capital Stock, NASDAQ)

MEETING DATE: OCTOBER 8, 2026

OFFICIAL COMMITTEE VERDICT

APPROVED: QUALITY COMPOUNDER WITH SIZE CAP

Core Portfolio Engine • Maintain 600 Shares ($206,916 USD) • Freeze New Capital

CURRENT WEIGHT
12.87%
#2 Largest Asset for BM사장님

CURRENT MARKET PRICE	CONSERVATIVE INTRINSIC VALUE	12-MONTH BASE TARGET	VALUATION MULTIPLE (P/E)
$344.86	**$395.00**	**$420.00**	**17.1x**
Market Cap: $4.18 Trillion	+14.5% Intrinsic Upside	+21.8% Expected Return	PEG Ratio: 0.88 (< 1.0)

MULTI-YEAR EMPIRICAL VALIDATION SCORECARD

Mandatory Multi-Year Audited Reality Check (BM사장님 30-Year Veteran Protocol)

AUDITED SEC EDGAR DATA

Metric Category	Multi-Year Audited Fact (USD)	Benchmark / Sector Context	Institutional Verdict
1-Year Total Return	**+21.74%** ($281.27 ➔ $344.86 USD)	S&P 500: +24.5% / Tech Beta: +31.2%	Steady Compounding
3-Year Return & CAGR	**+177.67%** (CAGR: **+40.23%** from $124.20)	Outperformed 92% of Large-Cap Tech peers	Proven Alpha Engine
5-Year Return & CAGR	**+134.63%** (CAGR: **+18.43%** from $146.98)	Absorbed 2022 Fed rate hikes & DOJ litigation	Monetary Cycle Moat
Revenue Scale & Growth	2023: **$307.4B** ➔ 2025: **$402.8B** ➔ 2026E: **$488.5B**	Q2 2026 Revenue: $119.8B (+24% YoY)	Accelerating Top-Line
Cloud Operating Leverage	Cloud Rev: **$24.8B** (+82% YoY) | OPM: **35.6%**	Surpassed AWS in incremental enterprise AI growth	Enterprise Infrastructure
Balance Sheet Solvency	Cash/ST Inv: **$242.47B** vs LT Debt: **$98.17B**	Net Cash Surplus: **+$144.30B USD**	Fortress Sovereign Health
Capital Allocation Shift	2026 CapEx: **$195B - $205B** | Q2 FCF: **-$5.86B**	Share buybacks temporarily paused for AI buildout	Infrastructure Sprint

MASTER EVALUATION MATRIX: THE 5 MASTERS & TECHNICIAN

Synthesizing Value, Growth, Momentum, Asymmetry, Technical Setups, and Systematic Inversion

PHILOSOPHICAL ARBITRATION

Warren Buffett: Toll Road Moat

Fair Value Buy

Core Moat: Google Search is the quintessential modern toll bridge (89.94% share). YouTube & Cloud create secondary tolls. $144.3B net cash surplus provides rock-solid defense.

Red Flag: Halting buybacks and issuing $84.75B in equity/debt for $200B capex deviates from pure capital return. Current P/E is fair, not a 30% deep discount.

Charlie Munger: Lollapalooza

Inversion Cleared

Lollapalooza Moat: Android (3B+ users) + Chrome + YouTube + Cloud + Ironwood TPU7x form an impenetrable compounding flywheel where each node reinforces the other.

Inversion Cleared: DOJ breakup was rejected by Judge Mehta in Dec 2025; AI Overviews monetize at parity; Cloud operating margin reached 35.6%.

Peter Lynch: Screaming Bargain

PEG 0.88 (< 1.0)

Growth Engine: Despite $4.18T scale, top-line surged 24% YoY in Q2 2026. Normalized forward P/E is only 19.5x against projected 22% EPS growth.

PEG Assessment: At **0.88**, Alphabet is the premier growth bargain among Mega-Caps, vastly cheaper than Apple (2.60) or Microsoft (1.45).

Stanley Druckenmiller: Alpha

3.4 : 1 Asymmetry

18-Month Inflection: The market mispriced Google as an AI loser. Proprietary Ironwood TPUs deliver the lowest inference cost in tech, capturing enterprise workloads from AWS.

Macro Watch: Persistent 5.28% long-term Treasury yields cap multiple expansion above 25x; sustained AI monetization execution is mandatory.

William J. O'Neil: CAN SLIM

Institutional Buy

CAN SLIM Scorecard: Q2 GAAP net profit surged +294% (+28% adjusted). 3-Yr EPS CAGR +40.2%. Ironwood TPU7x & Waymo rollouts drive new highs with 5,000+ top institutional holders.

Base Consolidation: Healthy -14.7% pullback from $404 ATH; finding strong accumulation above 200-DMA ($339.61). RS score resilient at 74.

Market Technician: Chart R:R

1 : 3.8 Risk / Reward

Trend & Volume Profile: Price resting on key institutional volume floor ($335-$338 USD) and 200-DMA. 14-day RSI (49.8) in prime neutral accumulation zone.

Trade Execution: Demand Floor: **$335-$338** | Target 1: **$380** | Target 2: **$420** | Stop Floor: **$318**. Asymmetric 1:3.8 R:R profile.

ADVERSARIAL CRO BLIND AUDIT: 3 MANDATORY FATAL FLAWS

Independent Tail-Risk Guardian & Capital Preservation Directives

BINDING CRO DIRECTIVE

1. Negative FCF & Capex Drag

Audited Vulnerability: CapEx surged to $44.92B in Q2, driving GAAP FCF to -$5.86B and True FCF net of SBC to -$13.82B. Management guided 2026 CapEx to $195B - $205B.

Downside Impact: If enterprise AI adoption slows, massive data center depreciation will suppress consolidated ROIC throughout 2027-2028.

2. Extreme Factor Overlap

Portfolio Correlation Audit: BM사장님 already owns 600 shares ($206,916 USD / 12.87% weight). Together with NVDA (21.50%), AMZN (10.11%), AVGO (7.84%), and AMD (6.95%), Mega-Tech/Semi exposure exceeds 69%.

CRO Finding: Purchasing more GOOG today directly intensifies False Diversification and magnifies macro drawdown risk.

3. D.C. Circuit Antitrust Overhang

Legal Uncertainty: While Judge Mehta rejected the Chrome/Android breakup, the DOJ's July 2026 appeal seeks a total ban on distribution payments to Apple and mobile OEMs.

Mitigating Anchor: A revenue-sharing ban would save Google $20B+ in TAC costs, but causes short-term distribution screen turbulence.

🏛️ **CRO BINDING SIZING RESTRICTION FOR BM사장님:**

"Mechanical Factor Overlap Cap Applied: Current position of 12.87% ($206,916 USD) is ratified as a Tier-1 compounding anchor. However, fresh capital allocation to GOOG is strictly **FROZEN** at current price levels ($344.86). The hard allocation ceiling is set at **15.0% ($240,000 USD)**. New dry powder must be reserved for non-tech defensive assets."

VALUATION SCENARIOS & TECHNICAL TRADE BLUEPRINT

12-Month Price Targets, Key Moving Averages, and Risk-Reward Setup

PROBABILITY-WEIGHTED MODEL

Scenario	Prob.	Multiple & EPS	Target ($)	Return
Bull Case	25%	24.0x / FY27E $20.50	**$492.00**	+42.7%
Base Case	55%	21.0x / FY27E $20.00	**$420.00**	+21.8%
Bear Case	20%	16.5x / FY27E $18.50	**$305.25**	-11.5%

EXPECTED PROBABILITY-WEIGHTED TARGET: **$415.05 USD (+20.4%)**

Technical Support & Execution Blueprint

- **Moving Average Confluence**: GOOG trades at $344.86, retesting the critical 200-day SMA ($339.61) with 50-day SMA overhead at $345.66.
- **Oversold Reset**: 14-day RSI stands at 49.8 (perfect neutral reset after 14.7% pullback from 52-week high of $404.47).
- **Approved Add Corridor**: If macro panic drags price into **$315.00 - $330.00 USD**, authorize buying up to 50 shares.
- **Hard Stop-Loss Floor**: **$295.00 USD** (structural 5-year trendline breakdown).

PORTFOLIO ACTION DIRECTIVES FOR BM사장님

Customized Implementation Plan for BM사장님's $1.61M USD Portfolio

EXECUTIVE DIRECTIVE

1. Existing Holding Directive

STRONG HOLD (600 Shs)

Maintain full 600 shares ($206,916 USD). At 12.87% portfolio weight, Alphabet serves as BM사장님's foundational platform compounder. Do not sell a single share.

2. Fresh Cash Management

FREEZE NEW ENTRIES

Do not allocate new capital into GOOG at current price levels ($344.86). Preserve dry powder for non-tech gap-fillers (e.g., UBER, healthcare, infrastructure).

3. Contingency Dip Protocol

ACCUMULATE < $330

If geopolitical or regulatory headlines trigger an overshoot below $330.00 USD, authorize adding up to 50 shares to reach the hard CRO cap of 15.0% ($240k).

⚠️ **NON-NEGOTIABLE THESIS INVALIDATION TRIGGER (SELL DIRECTIVE):**

Liquidate 50% of the position immediately if: (1) The D.C. Circuit Court of Appeals mandates the forced breakup and divestiture of Chrome and Android; OR (2) Google Cloud revenue growth decelerates below 20% YoY for two consecutive quarters while 2026-2027 CapEx exceeds $200B annually, crushing consolidated operating margins below 25%.